

Electronic Components Sector

Western Digital's 4Q FY2026 results: Implications for Japan's electronic components sector

- **Earnings summary and company outlook:** Western Digital Corp (WDC; covered by Joseph Cardoso) announced April-June 2026 (4Q FY2026) results on August 6 (early morning Japan time). April-June sales totaled US\$3.75 billion (+44% YoY, 12% QoQ), above company guidance (midpoint of US \$3.65 billion; +9% QoQ) and the Bloomberg consensus estimate of US\$3.68 billion. The QoQ growth was driven by higher shipped capacity and a favorable pricing environment. The non-GAAP gross margin was 54.4% (+13.0ppt YoY, +3.9ppt QoQ), substantially above the guidance range (midpoint of 51.5%) and the Bloomberg consensus estimate of 51.9%. Mix improvements from the shift to higher-capacity drives, along with the favorable pricing environment and improvement in manufacturing operations contributed.
- 1Q FY2027 (Jul-Sep 2026) sales guidance is US\$4.10 billion (midpoint; +46% YoY, +9% QoQ), above Bloomberg consensus of US\$4.03 billion. WDC anticipates continued strong demand and a favorable pricing environment across the cloud, consumer, and client markets. Non-GAAP gross margin guidance is 55.5% (midpoint; +1.1ppt QoQ), above Bloomberg consensus of 54.2%. Management believes the gross margin will continue to improve on the back of the shift to higher-capacity drives, an increase in the average price per TB, and a decline in costs per TB. WDC's April-June 2026 inventory was US \$1.51 billion, up US\$150 million QoQ from January-March 2026. Inventory turnover days were around 77 (+2 days QoQ).
- **Implications for Japan's electronic components sector:** Demand continued to expand, particularly for nearline HDDs, and sales and profitability improved significantly. Both April-June results and July-September guidance beat the consensus. Discussions on long-term agreements (LTAs) for 2029-31 are also underway, and WDC expressed strong confidence in the visibility of its earnings outlook. Meanwhile, management said that capex involving additional unit-based production capacity will not be necessary to expand shipping capacity, and maintained their view that unit growth is unlikely to be a driver for HDD component makers in general. Regarding TDK, we believe that since captive manufacturers are restraining capacity expansion for HDD heads and shifting existing production capacity to HAMR, TDK should be able to gain HDD head market share. TDK is our top pick among HDD-related stocks.

Key Takeaways

- **Earnings trends:** (1) WDC's April-June 2026 total capacity shipped increased 22% YoY and 4% QoQ to 231EB (exabytes), of which 209EB (+23% YoY, +5% QoQ) was for nearline HDDs and 22EB (+10%, -4%) was for non-nearline HDDs. Nearline HDDs continued to drive the increase in capacity shipped. (2) By application, April-June cloud-related sales increased 43% YoY and 12% QoQ to US\$3.34 billion. Client-related sales came to US\$230 million (+61% YoY, +35% QoQ). Consumer-related sales were US\$190 million (+38% YoY, -6% QoQ). Cloud sales grew QoQ, and accounted for 89% of the total, driven by strong orders for nearline HDDs and a favorable pricing environment. (3) GB pricing in April-June was 1.6 cents (+18% YoY, +8% QoQ). WDC's stable pricing strategy has resulted in a significant

Japan Equity Research

Technology - Electronic Components

Akinori Kanemoto ^{AC}

(81-3) 6736 8628

akinori.kanemoto@jpmorgan.com

Ikki Shibata

(81-3) 6736 8641

ikki.shibata@jpmorgan.com

JPMorgan Securities Japan Co., Ltd.

improvement. The company commented that price improvement has spread not only to nearline HDDs, but also to client and consumer markets. It is continuing its stable pricing strategy in the nearline market, which allows for a clear outlook. Meanwhile, for client and consumer markets, WDC said it saw greater price improvements, given rising prices of alternative product NAND flash memory. (4) The cost per TB fell 8% YoY in April-June. In the medium to long term, WDC expects the cost per TB to fall by about 10% annually on the back of a shift to higher-capacity drives and improved areal density. It expects costs to continue to fall due to the introduction of next-generation ePMR and HAMR. (5) The company explained that it does not require capex involving additional unit-based production capacity in order to expand shipped capacity. To increase productivity, however, the company plans to continue investing in head and media operations and automation. (6) Regarding LTAs, the company had previously entered into a contract with one large customer until 2029, but stated that it is currently discussing LTAs up to 2029-31 with multiple customers. It stated that the outlook for demand remains very strong. (7) In the self-driving area, WDC said that storage demand is growing significantly due to the launch of autonomous driving functions.

- **New products and technologies:** (1) Next-generation ePMR HDDs, with a maximum capacity of 40TB, started shipping in April-June, and WDC is currently shifting to mass production for two companies. It expects a full-fledged launch in the next few quarters, and for the platform to account for 50% of capacity shipped for nearline HDDs by January-March 2027. In addition, a third main customer of WDC's has now adopted Ultra SMR, and it expects the technology to account for about 60% of shipped capacity to the nearline HDD market by the end of FY2027. (2) The company stated that it is on track to start shipping 44TB HAMR in 1H 2027, and that customer certifications also show positive evaluations. (3) High Bandwidth Drives are currently being sampled by five companies. (4) As a driver of demand, WDC stated that in the field of AI, the focus is expanding from training and development to inference, agentic AI, and physical AI. It also said that its growth prospects in physical AI are improving through discussions with major clients. It views physical AI as the growth driver in 2027 and beyond.

Figure 1: WDC : Earnings Summary

(USD mn, %)	FY2023				FY2024				FY2025				FY2026			
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q
	CY2023				CY2024				CY2025				CY2026			
(non-GAAP)	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q
Sales	3,736	3,107	2,803	2,672	2,750	3,032	1,752	2,004	2,212	2,409	2,294	2,605	2,818	3,017	3,337	3,747
yoy % chg.	-26.0%	-35.7%	-36.0%	-41.0%	-26.4%	-2.4%	-37.5%	-25.0%	-19.6%	-20.5%	30.9%	30.0%	27.4%	25.2%	45.5%	43.8%
qoq % chg.	-17.5%	-16.8%	-9.8%	-4.7%	2.9%	10.3%	-42.2%	14.4%	10.4%	8.9%	-4.8%	13.6%	8.2%	7.1%	10.6%	12.3%
Gross Profit	968	641	297	104	113	470	528	706	826	926	920	1,077	1,237	1,391	1,684	2,037
GM (%)	26.7%	17.4%	10.6%	3.9%	4.1%	15.5%	30.1%	35.2%	37.3%	38.4%	40.1%	41.3%	43.9%	46.1%	50.5%	54.4%
OP	307	-119	-304	-478	-443	-81	153	296	407	591	596	732	856	1,019	1,287	1,655
OPM (%)	8.2%	-3.8%	-10.8%	-17.9%	-16.1%	-3.0%	8.7%	14.8%	18.4%	24.5%	26.0%	28.1%	30.4%	33.8%	36.6%	44.2%
R&D	552	523	476	458	431	444	-	-	-	-	245	262	294	289	294	284
as a % of sales (%)	14.8%	16.8%	17.0%	17.1%	15.7%	14.6%	-	-	-	-	10.7%	10.1%	10.4%	9.6%	8.8%	7.6%
CAPEX	320	258	124	119	124	150	-	-	-	-	129	71	73	92	145	108
as a % of sales (%)	8.6%	8.3%	4.4%	4.5%	4.5%	4.9%	-	-	-	-	5.6%	2.7%	2.6%	3.0%	4.3%	2.9%
Inventory																
Inventories	3,862	3,773	3,979	3,698	3,497	3,216	-	1,387	-	1,291	1,311	1,291	1,393	1,349	1,357	1,511
Inventory turns	2.92	2.69	2.59	2.68	2.93	3.05	-	-	-	-	4.22	4.70	4.74	4.78	4.89	4.77
Inventories turnover days	125	136	141	136	124	120	-	-	-	-	86	78	77	76	75	77
Sales by end market																
Cloud	1,829	1,224	1,205	994	872	1,071	1,455	1,712	1,909	2,096	2,007	2,329	2,510	2,673	2,970	3,335
yoy % chg.	-17.8%	-36.3%	-32.1%	-52.6%	-52.3%	-12.5%	20.7%	72.2%	116.9%	85.7%	37.9%	36.0%	31.5%	27.5%	48.0%	43.2%
qoq % chg.	-12.8%	-33.1%	-1.6%	-17.5%	-12.3%	22.8%	35.9%	17.7%	11.5%	9.8%	-4.2%	16.0%	7.8%	6.5%	11.1%	12.3%
as a % of total	49.0%	39.4%	43.0%	37.2%	31.7%	35.3%	83.0%	85.4%	86.3%	87.0%	87.5%	89.4%	89.1%	88.6%	89.0%	89.0%
Client	1,229	1,089	975	1,035	1,147	1,122	140	137	139	140	137	140	146	176	167	225
yoy % chg.	-33.7%	-41.3%	-43.7%	-36.8%	-6.7%	3.0%	-85.6%	-86.8%	-87.9%	-87.5%	-2.1%	2.2%	5.0%	25.7%	21.8%	60.6%
qoq % chg.	-24.6%	-11.4%	-10.5%	6.2%	10.8%	-2.2%	-87.5%	-2.1%	1.5%	0.7%	-2.1%	2.2%	4.3%	20.5%	-5.2%	34.7%
as a % of total	32.9%	35.0%	34.8%	38.7%	41.7%	37.0%	8.0%	6.8%	6.3%	5.8%	6.0%	5.4%	5.2%	5.8%	5.0%	6.0%
Consumer	678	794	623	643	731	839	157	155	164	173	150	138	162	168	200	187
yoy % chg.	-30.3%	-25.0%	-28.8%	-18.9%	7.8%	5.7%	-74.8%	-75.9%	-77.6%	-79.4%	-4.5%	-12.3%	-1.2%	-2.9%	33.5%	37.8%
qoq % chg.	-14.5%	17.1%	-21.5%	3.2%	13.7%	14.8%	-81.3%	-1.3%	5.8%	5.5%	-13.3%	-9.3%	19.1%	3.7%	19.2%	-6.4%
as a % of total	18.1%	25.6%	22.2%	24.1%	26.6%	27.7%	9.0%	7.7%	7.4%	7.2%	6.5%	5.2%	5.7%	5.6%	6.0%	5.0%
Exabytes shipped (HDD only)																
Total Exabytes	-	-	-	-	-	-	-	144.0	165.0	176.0	166.0	190.0	204.0	215.0	222.0	231.0
yoy % chg.	-	-	-	-	-	-	-	-	-	-	-	31.9%	23.6%	22.2%	33.7%	21.6%
qoq % chg.	-	-	-	-	-	-	-	-	14.6%	6.7%	-5.7%	14.5%	7.4%	5.4%	3.3%	4.1%
Nearline	-	-	-	-	-	-	-	125.0	141.0	154.0	145.0	170.0	183.0	192.0	199.0	209.0
yoy % chg.	-	-	-	-	-	-	-	-	-	-	-	36.0%	29.8%	24.7%	37.2%	22.9%
qoq % chg.	-	-	-	-	-	-	-	-	12.8%	9.2%	-5.8%	17.2%	7.6%	4.9%	3.6%	5.0%
Non-Nearline	-	-	-	-	-	-	-	19.0	24.0	22.0	21.0	20.0	21.0	23.0	23.0	22.0
yoy % chg.	-	-	-	-	-	-	-	-	-	-	-	5.3%	-12.5%	4.5%	9.5%	10.0%
qoq % chg.	-	-	-	-	-	-	-	-	26.3%	-8.3%	-4.5%	-4.8%	5.0%	9.5%	0.0%	-4.3%
HDD ASP (USD \$)	-	-	-	-	-	-	-	0.0139	0.0134	0.0137	0.0138	0.0137	0.0138	0.0140	0.0150	0.0162
yoy % chg.	-	-	-	-	-	-	-	-	-	-	-	-1.5%	3.0%	2.5%	8.6%	18.3%
qoq % chg.	-	-	-	-	-	-	-	-	-3.7%	2.1%	1.0%	-0.8%	0.8%	1.6%	7.1%	7.9%

FY25 4Q Guidance			FY27 1Q Guidance			BBG Consensus 4Q26 1Q27	
Low	Mid	High	Low	Mid	High		
3,550	3,650	3,750	4,000	4,100	4,200	3,684	4,032
36.3%	40.1%	44.0%	41.9%	45.5%	49.0%	41.44%	54.77%
6.4%	9.4%	12.4%	6.8%	9.4%	12.1%	10.41%	7.60%
						1,911	2,186
51.0%	51.5%	52.0%	55.0%	55.5%	56.0%	51.9%	54.2%
						1,525	1,813
						41.4%	45.0%

Note : Bloomberg consensus as of Aug 5, 2026

Source: Bloomberg Finance L.P. estimates, company data, J.P. Morgan.

Companies Discussed in This Report (all prices in this report as of market close on 06 August 2026, unless otherwise indicated)
TDK (6762)(6762.T/¥3,013/OW)

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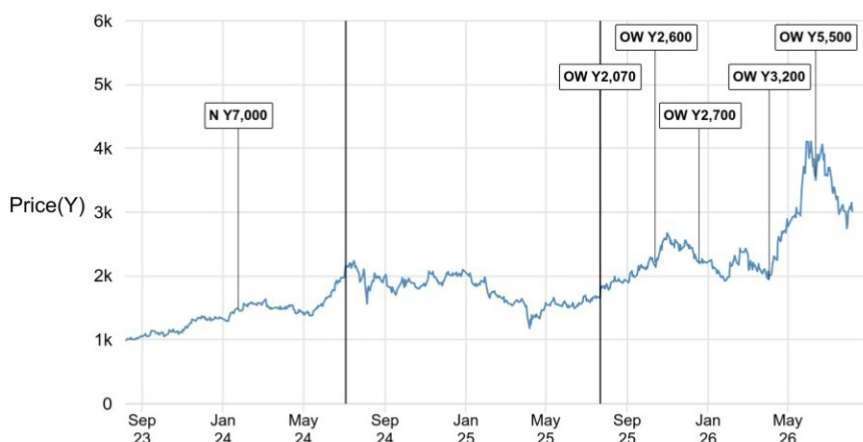
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TDK (6762) (6762.T, 6762 JP) Price Chart



Date	Rating	Price (Y)	Price Target (Y)
24-Jan-24	N	1492	7,000
22-Jul-25	OW	1675	2,070
14-Oct-25	OW	2212	2,600
19-Dec-25	OW	2218	2,700
03-Apr-26	OW	1946	3,200
12-Jun-26	OW	3561	5,500

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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